

ADVANCED TAXATION

ACCT 642

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CHAPTER ONE

INTRODUCTION



Instructions

1. This chapter is a one week work load
2. Read the material carefully and thoroughly
3. Attempt the review questions at the end of the chapter
4. If you have any question, use my personal telegram account to communicate (+251913-14-87-47) in your mobile phone and leave your questions)



Definitions: Different authors defined tax differently. Some of the definitions are provided below:

- Oxford Dictionary defined tax as "Money that has to be paid to the government so that it can pay for public services“
- The Balck Law Dictionary defined tax as "money charge imposed by the government on persons and, entities or property levied to yield public revenue“
- **According to Dalton** as “a compulsory contribution imposed by a public authority, irrespective of the exact amount of service rendered to the taxpayer in return.”

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- According to **Seligman**, a tax is “a compulsory contribution from a person to the government to cover the expenses incurred in the common interest of all, without reference to special benefits conferred.”
- In the words Taussig, “The essence of a tax... is the absence of a direct quid pro quo between the taxpayer and the public authority.”
- According to Thomas Cooley, "enforced proportional contributions from persons and property, levied by the state, by virtue of its sovereignty, for the support of government and all public needs"



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- These definitions point out the **characteristics of a tax**



i. Tax is levied by the government -

- No one has the right to impose taxes except the government from the people.

ii. Tax is a compulsory contribution: a person who refuses to pay a tax is liable to punishment

iii. Tax is paid by an individual when it dues from him

- tax is paid only by those who come under the jurisdiction of the taxing government
- persons who don't consume a commodity are not required to pay tax (for commodity taxes)

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- vi. **Tax revenue benefits all:** The state uses the revenue collected from taxes for providing security, justice, hospitals, schools, and other public utility services etc, which benefit all people.
- v. **No Direct Benefit:** In the modern times, there is no direct relationship between the payment of tax and direct benefits.

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Purposes/Objectives of Taxation

- Initially, governments impose taxes for three basic purposes:
 - to cover the cost of administration,
 - maintaining law and order in the country
 - and for defense.
- But nowadays, the role of the government in the economy has increased hence, its expenditure pattern changed and
- Taxation has than these three basic purpose

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- In general objective of taxations are:
 - i. **Raising revenue:** to render various economic and social activities, a government needs large amount of revenue and to meet this government imposes various types of taxes.
 - ii. **Removal of inequalities in income and wealth:** government adopts progressive tax system and stressed on canon of equality to remove inequalities in income and wealth of the people.
 - iii. **Ensuring economic stability:** taxation affects the general level of consumption and production. - Hence, it can be used as effective tool for achieving economic stability.

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- vi. Reduction in regional imbalances:** If there is an imbalance within the country, governments can use taxation to remove such imbalance by tax exemptions and tax concessions to investors who made investment in under developed regions.
- v. Capital accumulation:** Tax concession or tax rebates given for savings or investment in provident funds, life insurance, investment in shares and debentures lead to large amount of capital accumulation, which is essential for the promotion of industrial development.

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- vi. Creation of employment opportunities: Gov might minimize unemployment in the country by giving tax concession or exemptions to small entrepreneurs and labor intensive industries.
- vii. **Preventing harmful consumptions:** Government can reduce harmful things on the society by levying heavy excise tax on cigarettes, alcohols and other products, which worsen people's health.
- viii. **Beneficial diversion of resources:** Governments impose tax on non- essential and luxury goods to discourage producers of such goods and give tax rate reduction on most essential goods. This diverts produce's attention and enables the country to utilize the limited resources for production of essential goods only.



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ix. Encouragement of exports: Governments enhance foreign exchange requirement through export oriented strategy.

- These provide a certain tax exemption for those exporters and encourage them with arranging a free trade zones and by making a bilateral and multilateral agreement

x. Enhancement of standard of living: The government also increases the living standard of people by giving tax concessions to certain essential goods.

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Principles of Taxation

- A tax system (that is, the set of all taxes) for achieving certain objectives chooses and adheres to certain principles (also called cannons) which are termed its characteristics.
- A good tax system therefore, is one of which designed on the basis of an appropriate set of principles, such as equality and certainty.
- Mostly, however, objectives of taxation conflict with each other and a compromise is needed
- Therefore, usually economists select some important objectives and work out the corresponding principles which the tax system should adhere to.

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- The following is discussion of the different canons of taxation:
 - (1) **Canon of Equity:** This canon proclaims that a good tax is that which is based on the principle of equity.
 - In other words subjects of every state ought to contribute towards the support of the government, as nearly as possible, in proportion of their respective abilities, that is, in proportion to the reserve which they respectively enjoy under the protection of the State.
 - It implies what the income which a person enjoys under the protection of the State, should be taxed equitably.
 - Modern economists advocate progressive taxation to observe the canon of equality.

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(2) Canon of Certainty

- This canon is meant to protect the tax payers from unnecessary harassment by the ‘tax officials’.
- It implies that the tax-payer should be well informed about the time, amount and the method of tax payment.
- According to this canon, “the tax, which each individual is bound to pay, ought to be certain and not arbitrary.
- This canon is also states that government must also be certain of the amount which it derives from a particular tax.

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(3) Canon of Convenience

- According to this canon, “every tax ought to be so levied at the time or in the manner in which it is most likely to be convenient for the contributor to pay it.”
- In other words, taxes should be imposed in such a manner and at the time which is most convenient for the tax-payer, for example, the best time for the collection of land revenue is the time of harvest.

(4) Canon of Economy

- The canon economy states that the administrative cost of tax collection should be minimum.

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- i.e., the difference between the tax collected from the people and the amount deposited in the public treasury, should be as small as possible.
- Or administrative costs should be minimized - tax collection should be minimized because levying of a tax may require a great number of officers, whose salaries may eat up the greater part of the produce of the tax, and whose pre-requisites may impose another additional tax upon the people.

(5) Canon of Productivity

- The canon of productivity implies that taxes should be productive. The productivity of a tax may be observed in two ways.



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i. a tax should yield a satisfactory amount for the maintenance of a government.

- In other words, the tax should procure considerable amount of revenue for the expenditure of the government

ii. the taxes should not obstruct and discourage production in the short as well as in the long run.

(6) Canon of Elasticity

➤ The canon of elasticity implies that yields of taxes should be increased or decreased according to the needs of the government.

➤ The government resources can be raised quickly only when the system is elastic.



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(7) Canon of Diversity

- The canon of diversity implies that the tax system should be diverse in nature.
- In other words, in a tax system, there should be all types of taxes so that everyone may be called upon to contribute something towards the revenues of the state.
- Thus, the governments should adopt multiple tax system.

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(8) Canon of Simplicity

- The canon of simplicity implies that a tax should easily be understood by the tax-payer, i.e., its nature, its aims, time of payment, method and basis of estimation should be easy to each tax-payer.
- In other words, the tax imposed on the tax-payers should be so simple that they are able to guess easily the aim of its imposition and they are not confronted with accounting, administrative or any other difficulties.

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(9) Canon of Expediency

- This canon implies that the possibilities of imposing a tax should be seen from different angles, i.e. its reaction from the tax- payers.
- Sometimes it is seen that tax may be desirable and may be productive and may have most of the characteristics of a good tax, yet the government may not find it expedient to impose it, for example, progressive agricultural income tax, but it has not been imposed.
- So far in the manner it should have been imposed.

1.2 Presumptive Taxation



- Presumptive taxation is the application of indirect means to ascertain tax liability;
- A presumptive income tax is based on some measure of economic activity that surrogates for the tax base, rather than the actual tax base (taxable income itself);
- It is employed mainly in countries where hard-to-tax taxpayers comprise the majority of the population and administrative resources are scarce;
- In these countries most taxpayers lack the financial transparency (proper books) that allows for effective taxation by the government.

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- In developing countries most taxpayers especially small ones do not have the resources needed to maintain proper books of accounts;
 - In these situations, presumptive taxation may be the most appropriate method of tax administration.
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- Presumptive taxation uses a variety of alternative means of determining the tax base and assessing the tax liability;
 1. Estimate of income using factors like type of profession (sector), number of employees, resources used etc;
 2. Using assets:- Commercial property, business vehicles;
 3. Using turnover or gross receipts, purchases and wages;
 4. External indicators of income: personal wealth;

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Presumptive taxation methods:

- i. Standard assessment** – standard assessment assigns lump-sum taxes to taxpayers on the basis of occupation or business activity;
- Standard assessment does not take into account taxpayer- specific conditions, such as losses in a particular year;
- As a result it can be regressive by imposing equal tax on individuals in the same category with different incomes.

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ii. Estimated assessment

- Each taxpayer's income is individually estimated based on indicators like proxies of wealth specific to a given profession or economic activity;
- Takes individual circumstances (like loss in a given year) into account ;

1.3 Withholding Tax Systems



- Income tax systems may be founded on the principle of the “self-assessment system,” whereby
 - an income earner spontaneously calculates his/her income for the year and the corresponding amount of tax by submitting a return.
- However, for certain types of income, the payer of the income is required to pay income tax withheld at the time the income is paid under.
 - This type of system is termed as “withholding tax system.”

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- Under the withholding tax system,
 - i. a payer of certain types of income, such as salary, interest, dividends etc
 - ii. calculates the amount of income tax payable pursuant to prescribed methods at the time the income is paid, and
 - iii. withholds the amount of income tax from the income payment and pays it to the government.

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- Under the withholding tax system, a withholding agent may be involved.
- A withholding agent is a person or organization that is legally required to withhold taxes from tax payers.
- For example, KUE is responsible to withhold income tax from its employees and pay to the government.
- In this case, the university is termed as a withholding agent.
- Some times tax may be withheld by the tax payer him/her self. This is termed as self withholding.

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In Ethiopian context tax withholding is required for

i. Tax on employment Income

- An employer paying employment income to an employee who is subject to **employment income tax** is required to withhold tax from the gross amount of each payment of employment income made to the employee.

ii. Tax on payments – this includes

- ❖ withholding tax on payments to non-residents
- ❖ withholding tax on payments on games of chance
- ❖ withholding tax on domestic payments

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Withholding Tax from Payments to Non-residents

- This applies to payments are made by a resident of Ethiopia or a non-resident but with permanent establishment in Ethiopia to a non residents of Ethiopia.
- Payments may be made on dividend, repatriated profit, payment to sub-contractor, interest, royalty, management fee, technical fee, insurance premium or other income that is **subject to tax.**
- In such cases taxes are withheld from **the gross amount** paid at the tax rate applicable to the income.

Note: Refer income tax proclamation, 979/2016 on the meaning of resident, non-resident and permanent establishment.

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Withholding of Tax from Income from Games of Chance

- A person or organization shall withhold tax from the gross amount of the winnings at the specified rate.
- For example if you win a lottery, the national lottery administration deducts 15% of the amount you won and pay it to the government.

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Withholding of Tax from Domestic Payments

- This requires withholding of tax on payments made by companies (bodies having legal personality), government agency, non-profit organisation, or non-governmental organisations and other tax payers on payments made to domestically.
- Withholding is required on the following
 - a) **the supply of goods** in Ethiopia involving more than 10,000 Birr in one transaction or supply contract;
 - b) **the supply of services** involving more than 3,000 Birr in one transaction or supply contract

The tax rate is 2%

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Self-withholding

- An employee employed by an international organisation or working in an embassy, diplomatic mission, or other consular establishment in Ethiopia of a foreign government shall withhold tax from the employment income paid by the international organisation or foreign government as required under the proclamation.
- The Article shall apply only when the international organisation or foreign government does not withhold tax as required under the proclamation.

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Payment of Withholding Tax

- 1/ Tax that a withholding agent is required to withhold from withholding income shall be paid to the Authority **within 30 days after the end of the month** in which the withholding income was paid.
- 2/ A withholding agent required to pay withholding tax shall file a withholding tax declaration in the approved form with the payment.

1.4 Tax Rate Structures



- Almost all tax rate structures are composed of two basic parts – the **tax base** and the **tax rate**.
- Tax base refers to the legal description of an object with reference to which the amount of tax due (tax liability) is computed.
- For example, the tax base for income tax is taxable income, the tax base for excise tax is the cost of production or quantity of production, similarly, the tax base for property tax is the value of that property etc.
- Therefore, the amount of tax paid is calculated by multiplying the base by the tax rate.

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Tax rate: tax rate is the percentage rate applied on the base to arrive at the tax liability. It may also refer to the amount of tax per unit of the tax base.

- There are three tax rates – marginal tax rate, average tax rate and effective tax rate.
- **Marginal tax rate (MTR):** is the rate applied on each additional amount of the tax base. In other words the marginal tax rate is the rate applied on the next dollar/birr of income earned within the tax bracket.
- It also refers to how much a government charges on each incremental taxable income of the tax payer.

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- The marginal tax rate is calculated as follows:

$$\text{MTR} = \frac{\text{Change in total tax Liability}}{\text{Change in total tax base}}$$

- Average tax rate (ATR): refers to the average rate of tax for each dollar (birr) of taxable amount. It also refers to the average percentage of tax paid on the entire taxable amount. It shows how much a government charges a tax payer from each dollar (birr) of a tax payer's income. It is computed as follows:

$$\text{ATR} = \frac{\text{Total tax liability}}{\text{Total taxable income}}$$

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Effective tax rate (ETR):

- Effective tax rate is the ratio of tax liability to total economic income (both taxable and non-taxable) income.
- It denotes how much effectively a government charges from one dollar (birr) of a tax payers economic income.
- This rate is calculated as shown below:

$$\text{ETR} = \frac{\text{Total tax liability}}{\text{Total economic Income}}$$

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- There are four commonly used tax rate structures namely proportional, progressive, regressive and digressive structures.

i. Proportional tax rate structure/ Flat structure

- The proportional tax rate structure is a structure in which every tax payer (regardless her/his level of income, wealth or expenditure) is taxed with the same flat rate.
- Under this type of structure the entire tax base is taxed at a single uniform tax rate.
- The amount of tax paid is proportional to the size of the tax base.
- That is a tax payer's tax liability changes in the same proportion to the change in ability to pay.

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- In a Proportional, or flat tax, each individual or household pays a fixed rate.
- For example, low-income taxpayers would pay 10 percent, middle-income taxpayers would pay 10 percent, and high-income taxpayers would pay 10 percent.
- In other words, the percentage that each group pays is the same. Going back to our example from progressive taxing, Person A, Person B, and Person C would all pay the same percentage of taxes.

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ii. Progressive (graduated) tax rate structure

- Under the progressive tax rate structure, the marginal tax rate increases gradually as the tax base increases.
- As the tax base increases, the marginal tax rate also increases at arbitrarily constant or increasing rate and the vice versa.
- This structure taxes the higher income groups at a higher marginal tax rate, the middle ones at a medium tax rate and the lower income groups at a lower tax rate.

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iii. Regressive tax rate structure

- A regressive tax rate structure is a rate structure whose marginal tax rate decreases gradually as the tax base increases.
- Under this structure, the high income groups (richer) are taxed at a lower marginal tax rate than the lower income groups (poorer).
- This implies the marginal tax rate decreases as the tax base increases.
- However, notice that under regressive tax rate structure, although the marginal tax rate increases, it doesn't mean that the poor pays higher tax than the rich.

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iv. Digressive (Mild) tax rate structure

- Digressive tax rate structure can be seen from two dimensions
 - i. It is similar to progressive tax structure in that the marginal tax rate increases as the amount tax base increases.
 - But the average rate of progression is in a diminishing rate.
 - That means the average tax rate increases but at a decreasing rate.
- ii. The marginal tax rate increases gradually, reaches the peak and then declines with each incremental tax base.

Cont'd



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Review Questions

1. Explain the purposes/objectives of taxation?
2. Explain the principles that make a tax system good
3. What does presumptive taxation mean? Explain its methods.
4. Explain the concept of withholding tax system in relation to Ethiopian tax law.
5. Differentiate progressive, regressive, and proportional (Flat) Systems. Which system do you think is better? Why?



THANK YOU

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